



ally as they progress, there will be better asset allocation, which means that the deposits continue to be a critical component of the investment basket. I think all investment advisors tell everyone that you cannot put everything in equities. You have to have a basket... and deposits will continue to be an important part in the investment basket of any individual.

Q: What is your take on the broader retail credit story given the stress that has been seen in unsecured credit, that has also attracted regulatory attention?

A: Post-Covid retail credit growth has been significant. Even before Covid-19, most lenders consciously moved to retail, which means that retail credit growth rates have been more than what the system anticipated. Retail credit has three, four components... home loans is the biggest component of retail credit... The good news is that in the overall system, the retail unsecured personal loan cost is just about 10%. And if you take only retail credit, it's just about one-third of that. It's predominantly home loans, which create

good capital assets. And also, a lot of these home loan customers are first-time homebuyers... 95% of the borrowers [on our books] are first-time homebuyers.

Q: We have seen GDP growth falling to a seven-quarter low... from your vantage point, what do you see happening on the economic growth front?

A: I think the growth of India should be seen in the global context. The IMF estimate for global growth rate is about 3.2%, whereas we've been expecting around 7% growth rate for India. The last two quarters have definitely impacted growth. But one quarter decline, I think we should not be really worried about. This country and economy have got greater potential... Our estimate is growth rate of around 6.5% is still a possible scenario for the full year. This is not a bad situation for us. This growth is also driven by consumption, which is expected to come from the rural areas, and government expenditure will probably

spur the demand further.

Q: What do you think of the cost of capital which hasn't gone down? Is it time for the mandarins of the MPC to consider it?

A: I think this demand for rate cut has been there for quite some time, but I think RBI and MPC are definitely weighing the inflationary situation, particularly on the food inflation side. Once it slightly moderates, I think they will be able to take a call on that.

Q: How has life been for you since you moved into the corner office?

A: It has been a very enriching experience. In fact, it's more than the responsibility. I think the diversity of areas which we look at and considering that this bank touches everybody's life in India, directly or indirectly. Every day is a new day in terms of the life of the SBI Chairman. That's what I believe. It has been good, challenging but extremely enriching. **BT**

@szarabi